SECTION A

QUESTION 1

(a)

External users:	Internal users:
1. Lenders √ 2. Shareholders √ 3. Governments / LHDN 4. Consumers / Customers 5. Investors 6. Creditors 7. Potential Investors	1. Officers √ 2. Managers √ 3. Employees 4. Controllers 5. Internal auditors

[4√ x ½ = 2 marks]

(b)

(i) Historical cost √
(ii) Economic entity √
(iii) Going concern √
(iv) Monetary measurement √
(v) Full disclosure √
(vi) Accounting period √

[6√ x ½ = 3 marks]

(c)

(i) Liability √
(ii) Asset √
(iii) Equity √
(iv) Asset √
(v) Liability √
(vi) Liability √

[6√ x ½ = 3 marks]

(d)

	Asset		=	Liability	+	Equity		
	Cash	Equipment		Bank loan		Capital	Revenue	Expense
(i)	RM3,000√	RM15,000 √				RM18,000 √		
(ii)	−RM500√							− RM500√
(iii)	− RM1,800√	− RM1,800√						

(iv)	RM2,000√						RM2,000 √	
(v)	−RM800√							− RM800√
(vi)	−RM500√	RM5,000√		RM4,500 √				

[14√ x ½ = 7 marks]

QUESTION 2

(a)

(i) E √√
(ii) B √√
(iii) D √√
(iv) A √√
(v) C √√

[10√ x ½ = 5 marks]

(b) Deposit in transit: a deposit recorded by the company but not yet credited to bank account √√

Outstanding cheque: a cheque issued by a company and recorded in its book, but not yet paid by its bank √√

[4√ x ½ = 2 marks]

(c)

- To determine whether the bank or the depositor has made any error √√
- To determine whether the bank has entered any transactions affecting the account that the depositors has not recorded √√
- To verify
- To detect misappropriation
- To reconcile cash book
- To update cash book balance

[4√ x ½ = 2 marks]

(d) 1. Direct write-off method √√
Bad debt is recorded as actual loss / uncollected / expenses √√
2. Allowance method √√
Estimate uncollectible at end of accounting period √√

[8√ x ½ = 4 marks]

(e) Capital expenditure is an asset / long term asset √√

Revenue expenditure is an expense incurred due to business operation / operational cost √√

[4√ x ½ = 2 marks]

QUESTION 3

(a) Raw materials√√: material acquired for use in the production process√√

Work in process√√: Goods in process consist of materials partly processed and requiring further work before they can be sold√√

Finished goods: completed part that is ready for a customer order

[8√ x ½ = 4 marks]

(b)

- Have a physical substance√√
- Used in the operation of business√√
- Not intended for sale to customer
- Can be depreciated
- Relatively valuable / expensive
- Cannot be touched
- Have nonphysical substance (Intangible asset)

[4√ x ½ = 2 marks]

(c) Current liabilities are obligations due within one year or a company's operating cycle√√
Examples: account payable, interest payable, income tax payable, salary payable√√

Non-current liabilities are obligations due after one year or a company's operating cycle√√
Examples: long-term note payable, bond payable√√

[8√ x ½ = 4 marks]

(d)

- Unable to prepare trial balance√√
- Profit or loss cannot be determined√√
- Accuracy can be checked√√
- Error and frauds not detectable
- Unable to prepare financial statements

[6√ x ½ = 3 marks]

(e) Accrued expenses: Incurred during the accounting period√ when payment has not yet been made√ and shown as current liability√√ in the Statement of Financial Position.

[4√ x ½ = 2 marks]

SECTION B

QUESTION 1

(a)

Tasek Enterprise
Bank Reconcilation Statement
as at 31 October 2018√

	RM	RM
Cash Balance Per Bank Statement		2,257.90√
Add:		
Deposit in Transit		
Sales	75.60√	
Sales	84.30√	
Sales	583.20√	
Error	241.00√√	984.10
		3,242.00
Less:		
Outstanding Cheques:		
Stationaries - 463031	160.00√	
Rental - 463034	1,940.30√	
Purchases - 463035	153.00√	(2,253.30)
Adjusted Cash Balance Per bank		988.70√
Cash Balance Per Cash Book		1,145.40√
Add:		
Credit transfer		68.70√
		1,214.10
Less:		
Error (249 – 200)	49.00√√	
Bank charges	100.00√	
Standing order	76.40√	(225.40)
Adjusted Cash Balance Per Book		988.70√

[18√ x ½ = 9 marks]

(b)

Date	Particulars	Debit	Credit
2016	Cost of Goods Sold Inventory Accounts Receivable Sales	189,000√ 236,000√	 189,000√ 236,000√
	Cash Accounts Receivable	115,000√	 115,000√
	Bad Debt Expense [(236,000 – 115,000) x 1.5%] Allowance for Doubtful Debt	1,815√√	 1,815√
2017	Cost of Goods Sold Inventory Accounts Receivable Sales	236,000√ 318,000√	 236,000√ 318,000√
	Allowance for Doubtful Debt Accounts Receivable	450√	 450√
	Cash Accounts Receivable	215,000√	 215,000√
	Bad Debt Expense (3,353√√ + 450√ – 1,815√) OR Allowance for Doubtful Debt	*1,988√√√√	1,988√

Allowance for Doubtful Debt

	RM		RM
Accounts Receivable	450√	Balance b/f	1,815√
Balance c/f (**223,550 x 1.5%)	3,353√√	Bad Debt Expense	*1,988
	3,803		3,803

**223,550 = 121,000 + 318,000 – 450 – 215,000

[22√ x ½ = 11 marks]

QUESTION 2

(i) First-In First-Out (FIFO)

Date	Purchase			Cost of goods sold			Balance		
	Units	Unit cost (RM)	Total cost (RM)	Units	Unit cost (RM)	Total cost (RM)	Units	Unit cost (RM)	Total cost (RM)
Sep 1							400	14	5,600√
3				200	14	2,800√	200	14	2,800√
7	200	15	3,000√				200 200	14 15	2,800 3,000√
10				200	14	2,800√	200	15	3,000√
14	300	16	4,800√				200 300	15 16	3,000 4,800√
18	250	20	5,000√				200 300 250	15 16 20	3,000 4,800 5,000√
21				200 100	15 16	3,000√ 1,600√	200 250	16 20	3,200 5,000√
24	100	21	2,100√				200 250 100	16 20 21	3,200 5,000 2,100√
27				200 100	16 20	3,200√ 2,000√	150 100	20 21	3,000 2,100√
30	250	23	5,750√				150 100 250	20 21 23	3,000 2,100 5,750√
							Ending inventory		RM10,850

[21√ x ½ = 10½ marks]

(ii) Weighted Average Method

Date	Purchase			Cost of goods sold			Balance		
	Units	Unit cost (RM)	Total cost (RM)	Units	Unit cost (RM)	Total cost (RM)	Units	Unit cost (RM)	Total cost (RM)
Sep 1							400	14	5,600√
3				200	14	2,800√	200	14	2,800√
7	200	15	3,000√				400	14.50	5,800√
10				200	14.50	2,900√	200	14.50	2,900√
14	300	16	4,800√				500	15.40	7,700√
18	250	20	5,000√				750	16.93	12,700√
21				300	16.93	5,079√	450	16.93	7,618.50√ **7621**
24	100	21	2,100√				550	17.67	9,718.50√ **9721**

27				300	17.67	5,301√	250	17.67	4,417.50√ **4420**
30	250	23	5,750√				500	20.34	10,170√
							Ending inventory		RM10,170

[19√ x ½ = 9½ marks]

QUESTION 3

(a)

i. Accumulated Depreciation - Machinery√

Dec 31	Balance c/f	114,600 √	Jan 1	Balance b/f	80,400
				Depreciation Expense – Machinery	34,200
		114,600			114,600

Balance b/f = (134,000 x 20%)√x 3 years√ = 80,400

Depreciation expense = [134,000√ + (35,000 + 1,500 + 500)√] x 20% = 34,200√

ii. Accumulated Depreciation – Motor Vehicle√

Dec 31	Balance c/f	284,000 √	Jan 1	Balance b/f	213,600
				Depreciation Expense – Motor Vehicle	70,400
		284,000			284,000

Balance b/f = (267,000 x 20%)√ x 4 years√ = 213,600

Depreciation expense = (267,000√ + 85,000√) x 20% = 70,400√

iii. Accumulated Depreciation – Office Equipment√

Dec 31	Balance c/f	116,296.96 √	Jan 1	Balance b/f	100,329.95
				Depreciation Expense – Office Equipment	15,967.01
		116,296.96			116,296.96

Year	*Depreciation Expense*	*Accumulated Depreciation*	*Book Value*
			245,000
2012	*10% x 245,000√ = 24,500*	*24,500√*	*220,500*
2013	*10% x 220,500√ = 22,050*	*46,550√*	*198,450*
2014	*10% x 198,450√= 19,845*	*66,395√*	*178,605*
2015	*10% x 178,605√ = 17,860.50*	*84,255.50√*	*160,744.50*

2016	*10% x 160,744.50√ = 16,074.45*	*100,329.95√*	*144,670.05*

2017: [(245,000√ + 15,000√) - 100,329.95√] x 10% = 15,967.01√

[30√ x ½ = 15 marks]

(b)

Kenyir Sdn Bhd
Statement of Financial Position (extract)
as at 31 December 2017

	RM	RM
NON-CURRENT ASSETS√		
Machinery	171,000√	
(-) Accumulated Depreciation - Machinery	(114,600) √	56,400√
Motor Vehicle	352,000√	
(-) Accumulated Depreciation - Motor Vehicle	(284,000) √	68,000√
Office Equipment	260,000√	
(-) Accumulated Depreciation - Office Equipment	(116,296.96) √	143,703.04√

[10√ x ½ = 5 marks]

QUESTION 4

(a)

	Date	Particulars	Debit	Credit
1.	Oct 1	Cash/Bank Notes Payable	60,000√	60,000√
	Dec 29	Notes Payable Interest Expense (12% x 60,000√ x 90/365√) **or** Cash/Bank	60,000√ 1,775.34√ √	61,775.34 √
2.	Aug	Accounts receivable / Bank / Cash Sales	150,000√	150,000√
		Warranty Expense (150,000√ x 5%√) **or** Estimated Warranty Liability / Warranty Payable	7,500√√	7,500√
	Nov	Estimated Warranty Liability / Warranty Payable Cash/Bank	2,000√	2,000√
3.	Dec 31	Salary expense (2,500√ x 2√) **or** Salary Payable	5,000√√	5,000√
4.	Dec	Tax Expense Tax Payable / Cash / Bank	12,000√	12,000√

[18√ x ½ = 9 marks]

(b)

(i)

Accounts Receivable

Jan 1	Balance b/f	6,400√		Cash	6,800√
	Sales	4,600√	Dec 31	Balance c/f	4,200√
		11,000			11,000

Accounts Payable

	Cash	4,560 √	Jan 1	Balance b/f	5,350√
	Purchase discount	250√√		Purchase	5,810√
Dec 31	Balance c/f	6,350 √			
		11,160			11,160

[10√ x ½ = 5 marks]

(ii)

Perniaggan Tudung Titiwangsa
Statement of Profit or Loss
for the year ended 31 December 2017√√

	RM	RM	RM
Sales (15,600√ + 4,600√) **or**			20,200√ √
(-) Cost of goods sold:			
Beginning inventory		4,800√√	
Purchases (6,450√ + 5,810√) **or**	12,260√ √		
(-) Purchases Discount	(250)√	12,010	
Cost of goods available for sale		16,810	
Ending inventory		(5,200)√√	
Cost of goods sold			(11,610)
Gross profit			8,590
(-) Operating expenses:			
Insurance expense (3,900√ – 2,900√) **or**		1,000√√	
Salaries expense (8,650√ + 280√ – 3,500√) **or**		5,430√√√	
Utilities expense		1,200√	
Interest expense		380√	
Depreciation expense – Equipment (2,600√ + 1,500√ – 2,900√) **or**		1,200√√√	
Total operating expenses			(9,210)
Net loss			**(620)**√

[22√ x ½ = 11 marks]